

MEMORANDUM FOR THE RECORD (MFR)

(This is only applicable to acquisitions under the Simplified Acquisition Threshold (\$250,000). Acquisition using FAR Subpart 13.5 shall follow the special documentation requirements at FAR 13.501.)

Subj: **USE OF OTHER THAN FULL AND OPEN COMPETITION FOR AN ACQUISITION UNDER THE SIMPLIFIED ACQUISITION THRESHOLD**

JML # [REDACTED]

I. BACKGROUND:

Contractor will provide all tooling, equipment, replacement parts called out in the scope of work, as well as freight transportation to and from contractor's location necessary to complete an overhaul for One American Compressor Universal High Packs. During FY 2018, FY 2019, FY 2020, FY 2021, FY 2022 and FY 2024 the shipyard Maintenance Department S/06M requested a complete machine overhaul on One American Compressor which is part of the OEM manufacture's preventive maintenance cycle. This service contract is requested in order to overhaul/refurbish the existing machine asset to extend the useful life of this equipment instead of replacing the original asset at a cost savings to the Federal Government of approximately [REDACTED] dollars for a new compressor.

1. FAR 13.106-1(b)(1)(i) states for purchases not exceeding the simplified acquisition threshold, Contracting Officers may solicit from one source if the Contracting Officer determines that the circumstances of the contract action deem only one source reasonably available (e.g., urgency, exclusive licensing agreements, brand-name or industrial mobilization).

2. As required by FAR 13.106-3(b)(3)(i), this memorandum explains the absence of competition for this acquisition, as only one source will be solicited for this requirement (or for a portion of the requirement) and the requirement is not expected to exceed the simplified acquisition threshold.

II. DESCRIPTION OF ITEM OR SERVICE:

COMPLETE FACTORY REBUILD PERFORMED BY OEM MANUFACTURER AMERICAN COMPRESSOR COMPANY FOR IEA AMERICAN COMPRESSOR [REDACTED] MODEL: 55H75/D [REDACTED]

III. THE DETERMINATION FOR USE OF OTHER THAN FULL AND OPEN COMPETITION IS BASED ON THE FOLLOWING (select all that apply):

A. X ONLY ONE RESPONSIBLE SOURCE (select all that apply):

1. RESTRICTIVE RIGHTS. The source has established proprietary rights, limited rights in data, patent rights, copyrights or secret processes in the item or service required.

2. X EXCLUSIVE LICENSING AGREEMENTS. The item or service is only available from the Original Equipment Manufacturer (OEM), or there is only one authorized distributor or technical representative for the OEM.

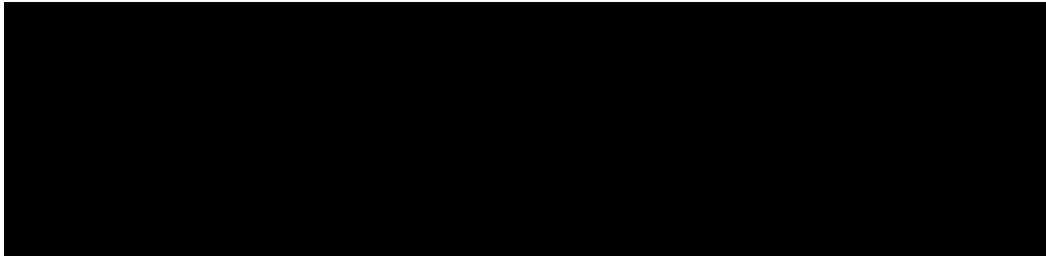
AMERICAN COMPRESSOR COMPANY is THE OEM MANUFACTURER. WITH REFERENCE TO THESE UNIVERSAL HIGHPACKS, AMERICAN COMPRESSOR COMPANY IS THE ONLY AUTHORIZED SERVICE AGENCY TO PERFORM MAJOR REPAIRS AND OVERHAULS (REBUILDS) ON MODEL 55H75 HIGHPACKS. THEIR FACILITY CONTAINS ORIGINAL REPLACEMENT PARTS, TOOLING, MACHINING AND SERVICE

TECHNICIANS SPECIFICALLY TRAINED TO PERFORM WORK NECESSARY TO RETURN HIGHPACKS TO NEW STANDARD TOLERANCES.

B. ____ BRAND NAME. Item required must be a brand name product, or feature of a product, particular to one manufacturer.

IV. CERTIFICATIONS/APPROVALS:

- A. Technical / Requirements Certification:** I certify that the facts and representation under my cognizance which are included in this justification are complete and accurate to the best of my knowledge and belief.



- B. Contracting Officer Determination:** Based upon the rational contained herein the Contracting Officer hereby determines that the circumstances of the contract action deem only one source reasonably available IAW FAR 13.106-1(b)(1)(i).

